

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 23-08

**MEDITERRANEAN SHIPPING COMPANY, S.A. –
POSSIBLE VIOLATIONS OF THE
SHIPPING ACT, 46 U.S.C. §§ 41102(c), 40501 and 41104(a)(2)(A)**

JOINT STIPULATIONS OF FACT

The Office of Enforcement (OE), within the Bureau of Enforcement, Investigations, and Compliance, and Respondent MSC Mediterranean Shipping Company, S.A. (MSC) hereby submit the following Joint Stipulations of Fact.

A. GENERAL

1. MSC is a vessel-operating common carrier (VOCC), FMC Organization No. 001699.
2. MSC is a common carrier as defined by 46 U.S.C. § 40102(7)
3. MSC is privately owned and organized under the laws of Switzerland with its principal place of business at 12-14, Chemin Rieu, Geneva, Switzerland 1208.
4. MSC's agent in the United States is Mediterranean Shipping Company (USA), Inc. (MSC USA) with a principal place of business at 420 5th Avenue, 8th floor, New York, NY 100018-2702.
5. MSC publishes its tariffs with Descartes Systems Group Inc. at <https://rates.descartes.com>.

B. MERCHANT CLAUSE

6. The MSC Bill of Lading is unchanged from January 2018 to present.

7. MSC's non-negotiable sea waybill defines the term "Merchant" to include "the Shipper, Consignee, holder of this Sea Waybill, the receiver of the Goods and any Person owing, entitled to or claiming the possession of the Goods or of this Sea Waybill or anyone acting on behalf of this Person."
8. MSC's non-negotiable sea waybill defines the term "Person" to include "an individual, corporation, company, or any other legal entity."
9. All bills of lading listed in Attachment A to the Order of Investigation and Hearing in FMC Docket No. 23-08 (the "Order") are non-negotiable sea waybills.
10. Rule 106 of MSC's tariff MESU-012 incorporates the definition of "Merchant" found in MSC's non-negotiable sea waybill.
11. Rule 106 of MSC's tariff MESU-012 makes the Merchant responsible for payment of demurrage, detention, and per diem.
12. MSC provided ocean transportation for the containers listed in the bills of lading found in Attachment A.
13. V. Alexander & Co., Inc. (V. Alexander), John S. Connor, Inc. (J. Connor), and Welke Customs Brokers USA, Inc. (Welke) were the notify parties in the corresponding bills of lading found in Attachment A.
14. V. Alexander, J. Connor, and Welke were neither the shipper nor consignee in the corresponding bills of lading found in Attachment A.
15. The Federal Maritime Commission (Commission) published a Notice of Proposed Rulemaking in Docket No. 19-05, *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, in the Federal Register on September 17, 2019.

16. The Commission published the final rule in Docket No. 19-05, *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, in the Federal Register on May 18, 2020, and the final rule became effective on that date.
17. The Commission issued a Notice of Inquiry in Docket No. 20-16, *Vessel-Operating Common Carrier Definition and Application of the Term “Merchant” in Bills of Lading* on October 7, 2020.
18. To date, The Federal Maritime Commission has taken no further action in Docket No. 20-16.
19. MSC invoice number 190000057911R, issued to V. Alexander and listed in Attachment A to the Order, is dated February 12, 2018.
20. MSC invoice number 190000058539R, issued to V. Alexander and listed in Attachment A to the Order, is dated February 12, 2019.
21. MSC invoice number 190000058338R, issued to V. Alexander and listed in Attachment A to the Order, is dated February 12, 2018.
22. MSC invoice number 190000060568R, issued to V. Alexander and listed in Attachment A to the Order, is dated April 11, 2018.
23. MSC invoice number 190000061236R, issued to V. Alexander and listed in Attachment A to the Order, is dated May 2, 2018.
24. MSC invoice number 190000067404R, issued to V. Alexander and listed in Attachment A to the Order, is dated August 16, 2018.
25. MSC invoice number 190000067405R, issued to V. Alexander and listed in Attachment A to the Order, is dated August 16, 2018.

26. MSC invoice number 190000071814R, issued to V. Alexander and listed in Attachment A to the Order, is dated December 6, 2018.
27. MSC invoice number 100000098316R, issued to J. Connor and listed in Attachment A to the Order, is dated October 2, 2020.
28. MSC invoice number 100000098319R, issued to J. Connor and listed in Attachment A to the Order, is dated October 2, 2020.
29. MSC invoice number 100000098317R, issued to J. Connor and listed in Attachment A to the Order, is dated October 2, 2020.
30. MSC invoice number 100000098318R, issued to J. Connor and listed in Attachment A to the Order, is dated October 2, 2020.
31. MSC invoice number 100000101476R, issued to J. Connor and listed in Attachment A to the Order, is dated November 12, 2020.
32. The invoice issued to Welke for charges due under MSC bill of lading MEDUBA338947 shows an Arrival Date and a Due Date of March 18, 2020, and was paid on July 8, 2020.
33. The invoice issued to Welke for charges due under MSC bill of lading MEDUBA354803 shows an Arrival Date and a Due Date of April 12, 2020, and was paid on July 8, 2020.
34. The invoice issued to Welke for charges due under MSC bill of lading MEDUBA355438 shows an Arrival Date and a Due Date of April 20, 2020, and was paid on July 8, 2020.

35. The invoice issued to Welke for charges due under MSC bill of lading MEDUBA361949 shows an Arrival Date and a Due Date of May 3, 2020, and was paid on July 8, 2020.
36. The invoice issued to Welke for charges due under MSC bill of lading MEDUBA376731 shows an Arrival Date and a Due Date of May 23, 2020, and was paid on July 8, 2020.
37. The Commission's regulations at 46 C.F.R. § 515.2(b) define the term "beneficial interest" to include:

a lien or interest in or right to use, enjoy, profit, benefit, or receive any advantage, either proprietary or financial, from the whole or any part of a shipment of cargo where such interest arises from the financing of the shipment or by operation of law, or by agreement, express or implied. The term "beneficial interest" shall not include any obligation in favor of an ocean transportation intermediary arising solely by reason of the advance of out-of-pocket expenses incurred in dispatching a shipment.

C. OPERATING V. NON-OPERATING REEFER

38. During 2021, MSC's tariff contained demurrage, detention, and per diem charges (collectively, "Charges") for reefer containers and dry containers.
39. During 2021, MSC's tariff did not contain separate Charges for non-operating reefer containers (NORs).
40. In 2021, MSC charged some of its shipper customers the Operating Reefer (OR) demurrage, detention, or per diem rate for shipments involving non-operating reefers (NORs).

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